Practical experiences obtained by system modelling of queues

Adapted from: Source: K. Katz, B. M. Larson, and R. C. Larson, "Prescription for the Waiting-in-Line Blues," *Sloan Management Review,* Winter 1991, pp. 51-52.

1. Do not overlook the effects of perceptions management.

Consumer concern about waiting is growing. There is no limit to the frustration that waiting can cause. Cities are becoming more crowded, the work week is expanding, the economy is worsening, and people need more free time to deal with their frustrations. Now, more then ever, excellent service is the key to success. Using perceptions management to improve customer satisfaction is only a tool, but it is a good tool.

2. Determine the acceptable waiting time for your customers.

One minute of waiting in a bank will probably go unnoticed, whereas a minute on hold on the telephone can be infuriating. Determining an acceptable waiting period will help managers set operational objectives and, if those are met, will improve customer satisfaction.

3. Install directions that entertain and physically involve the customer.

Keep the content light hearted. Piped-in music or live piano players may create a more pleasant atmosphere, but they do not effectively rope the customer into the activity. If the content of the distraction is light, fresh, and engaging, customers remain interested and entertained for many visits. Customers at the bank preferred horoscopes and tabloid headlines to more informative headline news.

The message screen used in our study managed perceptions effectively. It was inexpensive, easy to operate, and did not disrupt normal operations. Screen placement forced customers to the turn slightly in order to read it. Thus they stood shoulder to shoulder rather than front to back.

4. Get customers out of line.

Whenever customers can be served without having to stand in line, both company and customer can benefit. For example, queues can be avoided by advance reservations, by mail or telephone service, or by better automation.

5. Only make people conscious of time if they grossly overestimate waiting times.

There is a trade-of between the accuracy of waiting time perceptions and awareness of time. In the bank, perceptions were fairly close to reality, perhaps because customers had previous experience with the branch, or because the lines were short. For whatever reason, informing customers of their expected waiting time backfired. The clock made people more aware of the waiting time. It also appeared to increase balking rate.

However, there may be numerous instances in which information on expected waiting times is helpful. Airline passengers, for example, have no way of knowing when a plane sitting on the runway will take off unless they are told.

6. Modify customer arrival behaviour.

Customers are often aware of peak times before they arrive at a service location, but they show up then anyway. If some customer could be convinced to arrive at other times, everyone would be better off. To achieve this, signs what list off-peak hours could be posted in stores and banks. Servers could also mention off-peak hours to customers who have waited an inordinate amount of time. In addition, incentives could be used to encourage off-peak arrivals.

7. Keep resources not serving customers out of sight.

Several customers commented that they do not mind waiting so long as the tellers seem to be working as hard as they can. Customers tend to become annoyed it they see several unstaffed teller window or if tellers are present but not serving customers.

To address this perception, managers can adopt several policies:

- Keep idle employees out of view.
- Conduct activities that do not involve customer interaction out of the customer´s sight.
- Staff stations closest to the exit point of the queue first. The practice creates a better first impression for the customer.
- Keep unused physical capacity out of view.

8. Segment customers by personality types.

The three types of customers we observed a) watchers, b) impatients, and c) neutrals want different types of service from the bank. Watchers find the bustle of the bank entertaining and prefer a friendly teller with a smile to a shorter line. The impatient group is more apt to emphasise the length of the queue in their definition of overall satisfaction.

The needs of the "impatients" can be met through innovative products, services, and educational programs that either avoid or reduce the waiting experience. The airline and hotel industries, for example, have developed club memberships that provide express check-in and check-out policies. Some retailers satisfy convenience-seeking consumers by creating express check-out cashier lines. The emergence of convenience-oriented businesses proves that people are willing to pay more for services that save them time.

9. Adopt a long-term perspective.

Respondents rated their overall satisfaction significantly lower on a historical basis than on the survey date itself. And, although daily satisfaction improved as the study progressed, historical satisfaction did not. It evidently takes a tremendous number of "good days" before customers' historical opinions change. Managers must take a long-term approach when attempting to improve perceptions.

10. Never underestimate the power of a friendly server.

Although waiting is an issue worth addressing, managers should not lose perspective. Servers should continually be trained and rewarded for good service, since their efforts can overcome many negative effects of waiting.